6. **Management helps in the development of the society:** Efficient management improves the economic condition of the employee by paying good remuneration and incentives. It improves the standard of living of the employee and helps to develop the society.
7. **Increase Efficiency:** Efficiency is the relationship between returns and cost, management uses many techniques to increase the return and reduce the cost. Increasing the efficiency brings many benefits to the organisation.
8. **Optimum use of resources:** Management brings together the resources such as men, material, machinery and money in organisation. Management plans to utilize the resources without any wastage and increase the profit of the organisation.
9. **Encourages teamwork:** Employees work are integrated together and encourage to work as a team. Management develops the team spirit in the organisation. Unity of the employees on working together as team brings success to the organisation.

1.6 Levels of Management

The term "Levels of Management" refers to a line of demarcation between various managerial positions in an organisation. The number of levels in management is based on the size of business. The levels of management can be classified in three broad categories:



Figure 1.1 Levels of Management

Top Level of Management : It consists of board of directors, chief executive or managing director, president, vice president and all top level managers. Top level management is responsible for controlling and overseeing the whole organisation. They develop goals, company policies take major decisions which affects the whole organisation. They are answerable to shareholders and public.

Following are the role of top level management:

1. Determination of objectives
2. Formulation of policies
3. Preparing long range planning and strategy
4. Organising for action
5. Keeping communication between the organisation and outside world
6. Ensure Co-ordination and effective control of activities.

Middle Level Management: Middle level management is also known as executory level management. They are subordinate to top level management and responsible for the direction of lower level management. It consists of branch managers and departmental managers. The middle level managers are in charge for training of lower level employees.

Their role can be emphasized as

1. They execute the plans of top management
2. They make plans for sub-units of the organisation
3. They interpret and explain policies from top level management to lower level
4. They motivate the lower level management workers towards better performance

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